Celebrating 30 years of capital markets development in Uganda

By Augustus Nuwagaba

TYPE

Speech

SUBTYPE

Central banker's speech

DATE DELIVERED

20 October 2026

COUNTRY

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Speech by Prof Augustus Nuwagaba, Deputy Governor of the Bank of Uganda, at the Capital Markets Authority 30th Anniversary Award Dinner "Celebrating 30 years of capital markets development in Uganda", Kampala, 25 September 2026.

The Chairperson of the CMA Board - Mr. Saul Sseremba,
Current and Former CMA Board Members,
The Chief Executive Officer, CMA - Ms. Josephine Okui Ossiya,
Our founding Chief Executive Officer, Mr. Japheth Katto,
Our former Chief Executive Officer, Mr. Keith Kalyegira,
Heads of sister regulators and of the Uganda Securities Exchange,
Leaders of our Pension Funds, Fund Managers, Brokers, Dealers, Custodians, Trustees and Actuaries,
Distinguished Award Nominees and tonight's Winners,
Representative of Media houses present,
All invited Guests,
Ladies and Gentlemen.

Good evening to you All.

What an evening it has been so far.

I see most of you have all complied with the dress code: Maroon and Gold. Now, I am a Central Banker, so naturally I have been thinking about what these colours mean.

Gold, ladies and gentlemen, is the return. The thing every investor in this room is chasing. But Maroon, that deep, steady, patient colour is what it takes to hold on long enough to get the gold.

Thirty years ago, this market was almost all maroon: Sweat, Commitment and Patience. Tonight, at last, we can all see the Gold..... Thank you.

Let me begin with a confession. When I received this invitation, I did a little research. And I

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am also your former Landlord. And after thirty years, I have come to collect our rent.

Don't worry ! The Bank of Uganda has done its arithmetic. We have calculated the interest that has accrued over the years. We have however, decided to accept payment in terms of a:

- deep and liquid capital market supporting investments,
- large and well diversified investor base, and
- more Ugandan companies raising long-term capital at home.

These, ladies and gentlemen, are the only rent we will ever ask of you CEO, Josephine and the CMA Board.

There is another story from that basement that I love. I am told, " When Mr. Japheth Katto reported for duty as the first Chief Executive of CMA, he was handed staff identity card number one. To this day he insists it was a mistake because the real number one was Mr. Geoffrey Karema, who had crossed over from the Bank as a messenger and was the first full-time employee of the Authority. "

I tell that story because it captures everything about how this institution was built: by a handful of people, in a small room, with very big ideas, and with the humility to remember who carried the files before anyone carried the title. Mr. Karema, wherever you are tonight, we applaud you for identity card number one!

Ladies and gentlemen, let us reflect back to 1996. If you had walked into the streets of Kampala and announced that one day hundreds of thousands of ordinary Ugandans would, invest in bonds, own equity shares, and unit trusts, someone would have thrown you off the streets.

And yet here we are today.

The Capital Markets Authority was established in 1996. The Uganda Securities Exchange was licensed in 1997, and our very first product was a bond from the East African Development Bank. Then, in March 2000, came Uganda Clays, our first Initial Public Offer (IPO). It was such a momentous occasion that it was marked with a public holiday.

I am told some of the people in this room would like that tradition of a public holiday revived

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DFCU, Umeme and New Vision whose IPO was launched by His Excellency the President in Mbale, where he also bought shares. Cross-listings followed: East African Breweries, Kenya Airways, Equity Bank and Jubilee Insurance.

And then, two decades after Uganda Clays, MTN Uganda's IPO in 2021 became the largest in our country's history, followed by Airtel Uganda in 2023.

All these was achieved through commitment of CMA staff from a basement with two desks, ladies and gentlemen, to a market that today counts:

a domestic market capitalisation on the Uganda Securities Exchange of more than UGX 15 trillion;

- Collective Investment Schemes holding more than UGX 5.6 trillion, with segregated funds of nearly UGX 6 trillion more;
- more than 220,000 Ugandans with funded unit trust accounts, and over 235,000 investors with accounts at the Securities Central Depository; and
- more than 160 licensed market participants.

In 2025, our market capitalisation grew by more than twenty-five percent, one of the strongest growth stories in East Africa. That is not a footnote. That is a revolution ladies and gentlemen.

Distinguished guests, No institution builds itself. Tonight, we honour the people who built this one. Allow me to single out three distinguished Champions of the Capital Markets in Uganda.

Mr. Japheth Katto - the Founder CEO

Mr. Katto, you led this Authority for sixteen years. You were handed a basement and a blank page, and you wrote the rulebook.

Under your leadership came the Collective Investment Schemes regime in 2003, the very framework that today holds trillions of shillings of ordinary people's savings. You put capital markets into our secondary school syllabus, started the schools and universities challenge, trained journalists, and launched the Kikonyogo Capital Markets Awards.

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You also championed the demutualisation of the stock exchange long before it was fashionable. Mr. Katto, you were not ahead of your time. You were simply on time, the rest of us were late. Thank you, Japheth!

Mr. Keith Kalyegira - the Consolidator

Mr. Kalyegira, you did something rare among leaders: on your very first day, in January 2014, you stood up in public and announced your targets. Most of us prefer to set targets in private, so that we can quietly move them later.

You promised to add UGX 6 trillion to the market capitalisation of the exchange. You delivered UGX 8.1 trillion through the listings of MTN, Airtel and Cipla, which brought in 27,600 new investors. You launched the client service charter in 2015. And you oversaw the arrival of 65,000 new investors who put more than UGX 2.2 trillion into our markets through unit trusts.

You made the patient, persistent case for local public ownership of our telecoms, a case that contributed to the MTN Uganda IPO. And you left us with a lesson that I believe every regulator in this room should frame and hang on the wall: that listings are a means, not the measure. The purpose of a capital market is to finance the growth of real enterprises. We applaud you Keith, thank you very much.

Ms. Josephine Okui Ossiya - the Scaler

To the current Chief Executive, Ms. Josephine Okui Ossiya: if Mr. Katto built the foundation and Mr. Kalyegira tested how much weight it could carry, your job is the hardest of all, to build upwards and fast enough.

You have put your commitments in public, too:

- one million funded unit trust accounts within five years; Collective Investment Scheme assets above UGX 12 trillion;
- Uganda's first sovereign Sukuk;
- the successful listing of a transformational instrument,

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For the wider CMA Family, we also honour the Board Chairpersons who steered this Authority:

Governor Emeritus Leo Kibirango,
Prof. Hajji Twaha Kaawaase,
CPA Grace Jethro Kavuma,
The currenct Board Chair - Mr. Saul Sseremba, and every board member who served alongside them.

In a special way, we honour the pioneers seconded from the Bank of Uganda who held the fort before anyone else arrived, Stephen Kaboyo, Simon Rutega and Wasswa Kajubi, and the early staff who learned this business when there was no one in Uganda to teach it. We highly appreciate your contributions to CMA's journey.

At this juncture we need to remember and pay respect to all those who are no longer with us: the late Governor Charles Kikonyogo, who insisted that this Authority should stand independent of the Central Bank; the late Prof. Emmanuel Tumusiime-Mutebile, who as Permanent Secretary to the Treasury backed that independence wholeheartedly; and the late Anne Kyohairwe Muhangi, who led public education in the early years. May I ask you all to join me in a moment of quiet in appreciation for them..... May their souls continue to rest in eternal peace.

Ladies and gentlemen, let me now take off my party hat for a few minutes and put on my Central Banker's spectacles.

It is important to note that our region is on the move, despite the economic challenges.

In Kenya, the Nairobi Securities Exchange crossed three trillion Kenya shillings in market value, and in the first quarter of this year Kenya's unit trusts held about KSh 851 billion on behalf of more than 3.6 million investors. Let us sit with that number for a second: 3.6 million unit trust investors next door, against our 220,000. That is not a reason for despair. It is a measure of how much room we have to grow.

The frontier is also expanding. Ethiopia relaunched a stock exchange in January 2025 after

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Uganda, Rwanda and Tanzania have linked their trading systems through the regional capital

At the same time, there are sobering trends. Last year, none of the region's main exchanges, Nairobi, Kampala, Dar es Salaam or Kigali recorded a single IPO. Companies are increasingly raising money privately, through private equity, to avoid the demands of listing and disclosure. And around the world, three big currents are reshaping finance: sustainability and green finance, Islamic finance, and digital platforms that put an investment account inside a mobile phone.

The good news is that the East African Community is projected to grow faster than the rest of Sub-Saharan Africa. Capital will flow to the markets that are ready to receive it. The question for tonight is simple: Will Uganda be ready?

A thirtieth birthday is a good time for honesty, so let me focus on four major challenges we are faced with today.

1. Liquidity: Thin equity liquidity keeps all of us awake. A market where you cannot easily sell is a market where big investors will not easily buy. This is a serious challenge worth looking at.

2. Supply or size of economy: We are a USD 63 billion economy supported by only a handful of domestic listed companies. Ugandan businesses are growing, in agro-processing, in manufacturing, in oil and gas services, in technology, but too few are coming to the market.

3. Shadow of government debt securities instruments: Government securities still dominate investment portfolios. They are safe and they are important, I say that as the institution that runs the auctions. But when government pays a high coupon on a ten-year bond, a business must promise even higher returns to compete for the same shilling. A mature market needs alternatives: REITs, infrastructure bonds, green bonds, asset backed securities, Sukuk etc.

4. Participation and trust: Too many Ugandans still keep their savings under the mattress, in animals as assets, or with a cousin who promises 30 percent a month... We look on everyday as savers are scammed, but every pyramid scheme that collapses sets back public trust in genuine markets by years.

So what do we do to push our frontier further? Let me offer five things, and let me be specific about who must do them.

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stability is the soil; your markets are the crop. We will keep tending the soil.

2. A pipeline of good assets, from government and business. We should see more state enterprises and strategic investments offering shares to Ugandans, more infrastructure financed through bonds at home, and the inaugural sovereign Sukuk brought to life. And to Uganda's family-owned and growing businesses I say: the market is not a place where you lose control of your company. It is a place where you gain the capital to make it great.

3. Patient capital, from our savings institutions. Pension reform must keep moving towards a system that pays retirees a regular income and gives fund managers long-term money to invest. Patient money builds roads, factories and power lines. Impatient money only buys Treasury bills.

4. Liquidity and innovation, from the industry. Brokers and dealers must make markets, not just take orders. Fund managers must keep bringing unit trusts to the boda boda rider, the market vendor, the teacher in Gulu and the farmer in Mbarara, through their phones. And the Authority must keep the regulatory sandbox open and its rules modern, so that innovation happens inside the tent and not outside it.

5. One region, one market. We have a luganda saying: agali awamu ge galuma, meaning that the teeth that are together are the ones that bite. Uganda's market alone is small. East Africa's market, integrated with common rules, shared infrastructure and cross-border enforcement can attract the capital that this region needs. Josephine, as Chair of the regional regulators, you hold one of the most important pens in East Africa. Write boldly.

If we do these five things, Uganda's ambition of a USD 500 billion economy by 2040 will not be financed by bank loans alone. It will be financed, in large part, by Ugandans investing in Uganda.

And now, to the people we are really here for.

To every award winner tonight, the brokers, the fund managers, the issuers, the journalists, the students, the innovators, you are the proof that this market works. You are the evidence that Uganda's capital markets are no longer an experiment.

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not yet realised its value. We call it "undervalued." Keep compounding. Your dividend is

identity card handed to the wrong man Japheth. Tonight it continues in a ballroom, with a country that has learned to invest in itself.

The first thirty years proved that capital markets can work in Uganda. The next thirty must prove that capital markets can build Uganda.

May I now ask you all to rise and raise your glasses for a toast.
To the Capital Markets Authority at thirty
To the founders who dared,
To the leaders who built,
To the investors who trusted,
And to the next thirty years

May we keep the patience of maroon, and may it turn every year into gold. To CMA@30!
[raise your glass]

Thank you, and God bless you all this evening.

The views expressed in this speech are those of the speaker and do not necessarily reflect those of the BIS.

Authors

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Augustus Nuwagaba
Deputy Governor